STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

James (Jimmy) & Maria (Carmela) Iskra
Of

40 Victoria Street

Bulleen Vic 3105

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Email: jamesiskra@optusnet.com

Prepared on:

20th April 2018

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

20/04/2018

James & Maria Iskra
40 Victoria Street
BULLEN VIC 3105

Dear Jimmy & Carmela,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, commissions, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation structure (including Self-Managed Superannuation)
- Investments inside superannuation

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Jimmy and Carmela, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio.
- You are interested in managing your own super fund to maximise your returns and you would like to place your future assets within the fund to maximise tax effectiveness.

Recommendation Overview

Considering your stated goals and objectives, investor risk profile and age we recommend that you:

- Set up a SMSF with a corporate trustee and yourselves as members.
- Jimmy and Carmela, make a combined Personal Non-Concessional contribution of $200,000 ($100,000 each).
- Jimmy, make a concessional contribution up to $25,000.
- Roll over the balance of your Australian Super & OneAnswer (Jimmy) and Australian Super & Hesta (Carmela) superannuation funds into the SMSF.
- In light of your High Growth Investor Risk profile (Jimmy) and your Balanced Investor Risk Profile (Carmela), invest your funds within the SMSF with a *Growth* asset allocation.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	James (Jimmy)	Maria (Carmela)
Surname	Iskra	Iskra
Gender	M	F
Date of Birth	20/12/1949	06/04/1949
Age Last Birthday	68	69
Marital Status	Married	Married

Estate Planning

	Jimmy	Carmela
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that Jimmy has a *High Growth* investor risk profile and Carmela has a *Balanced* investor risk profile in regard to investments inside superannuation.

Typically, a **High Growth** investor has the following characteristics:

- A High Growth investor ignores income and capital preservation in the short term in order to maximise their opportunities for capital growth over an 8 year plus time frame.
- Their portfolio would typically comprise of Australian and International Shares and Property.

A High Growth investor will typically diversify their investment in the following manner:

Australian Shares	51%
International Shares	29%
Property	20%

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Therefore, a **Balanced** to **High Growth** investor will typically diversify their investment in line with that of a **Growth** Investor Risk Profile in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2017-18

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $37,000	19c for each $1 over $18,200
$37,001 – $87,000	$3,572 plus 32.5c for each $1 over $37,000
$87,001 – $180,000	$19,822 plus 37c for each $1 over $87,000
$180,001 and over	$54,232 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in ‘accumulation’ phase - Tax rate = 15%

Superannuation in ‘pension’ phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

* From 1/07/17, the taxation of earnings in pension phase will apply to 'transition to retirement' income streams where preservation age has been reached and you have not yet retired.

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute

Investments Currently Outside of Superannuation

- Jimmy and Carmela, you currently have surplus funds in your personal name.

- You seek advice with respect to the best use of these funds.

Recommendation:

- Jimmy and Carmela, in light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make a combined Personal Non-Concessional contribution of $200,000 ($100,000 each).
- Jimmy, we recommend to make a concessional contribution up to $25,000 to reduce your taxable income (this contribution remains within the contribution caps detailed in the 'Superannuation Contribution Limits' section).

Benefits:

- As your superannuation fund is nearing 'pension phase', any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Establish a Self-Managed Superannuation Fund (SMSF)

A super fund is generally a self-managed super fund (SMSF) if:

- It has 4 or less members;
- No member of the fund is an employee of another member of the fund (unless they are related);
- Each member is a trustee, and
- No trustee of the fund receives any remuneration for their services as a trustee.

Since you are both over 18 years of age, not under a legal disability and have not been disqualified*, you are both eligible to be trustees.

There are several detailed steps involved in establishing and managing an SMSF. Briefly, as trustees of an SMSF you are required to:

1. Establish your fund which includes appointing trustees (ie yourself as director of the corporate trustee) and make an irrevocable election to be regulated, obtain a tax file number and Australian business number. **Lakeside Accountants has already assisted you in completing this step.**
2. Comply with all legislative requirements at all times – especially the SIS legislation which is the principle piece of legislation regulating super funds.
3. Comply with the sole purpose test. The object of this test is to ensure that SMSFs are maintained for the purpose of providing benefits to members upon their retirement, or their dependants if one of you dies before retirement.
4. Accept contributions in accordance with the SIS legislation and your trust deed.
5. Manage your fund's investments which includes having an investment strategy and complying with the investment restrictions associated with SMSFs. For example, as trustee, you are prohibited from lending money or providing direct or indirect financial assistance* from the fund to a member or a member's relative.
6. Pay benefits in accordance with SIS legislation. In order to do this you must understand when benefits can be paid to members and in what form (i.e. as a lump sum, and or income stream).
7. Meet lodgement and administrative obligations of which there are several including annual income tax and regulatory returns as well as record keeping requirements.
8. You must appoint an approved auditor to audit the operations of the fund each year or part year the fund is in existence. The auditor is required to assess the fund's overall compliance with SIS legislation and the fund's financial statements.

** This includes the provision of credit.*

To protect your retirement income the Australian Taxation Office (ATO) regulates SMSFs to ensure they comply with SIS legislation. Failure to comply is known as a 'contravention' of the applicable legislation and may result in the ATO taking compliance action against you.
Accordingly, it is vital that you understand and conduct your obligations as trustee of the fund to the utmost of your ability.

Recommendation:

- Jimmy and Carmela, rollover the balance of your respective Australian Super, OneAnswer, and Hesta funds to the SMSF, which is to be set up by Lakeside Accountants.
- To assist you with understanding your role and responsibilities as trustees, I have enclosed at **Appendix B** the ATO's recent publication entitled: *Running a Self-Managed Super Fund.* You will need to read, become familiar with and abide by the information contained within this document and please don't hesitate to contact me should you have any questions.

Risks of having an SMSF:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.
- As outlined above, you face ongoing, onerous responsibilities as trustees of an SMSF. That said, by reading the enclosed material in **Appendix B**, working with SMSF specialists and being proactive about your responsibilities, your fund should run smoothly.

Existing Superannuation Funds

You currently hold the following superannuation funds:

- Jimmy;

  - Australian Super #711863288 – *$1,198,000*
  - Australian Super #67306 – *$37,425*
  - OneAnswer #5491466 – $7,848

- Carmela;

  - Australian Super #67243 – *$962,171*
  - Hesta #16059335 – *$340,050*

Recommendation:

- Roll the respective Australian Super, OneAnswer, and Hesta funds into the SMSF.
- All future contributions should be made to the SMSF.

Basis for the recommendation:

- Establishing your own SMSF suits your needs and objectives, providing you with an appropriate alternative to your existing funds.
- Once the funds are in your SMSF, as the trustee of the fund you are responsible for your own investment strategy which includes asset allocation. Accordingly, you will be able to ensure that the fund's assets are invested in accordance with your risk profile.

Your Self-Managed Superannuation Fund

The Role a Trust Deed plays in a SMSF

A SMSF cannot exist without a trust deed. The trust deed is a legal document that establishes the fund and provides the rules for its day to day operations and member entitlements. The trust deed should include rules that:

- Control who can be a trustee and who cannot be a trustee, what the trustee can do and what the trustee can’t do, how the trustee can retire and a new trustee appointed, what the trustee can be paid and so on
- Describe who can be a member
- Describe what contributions can be accepted and from whom
- Describe the lump sum and pension benefits, and how they are calculated, on retirement, on death or permanent disability, or on serious financial hardship
- Describe how the decisions of the trustee should be made
- Describe the types and rules for death benefit nominations
- Facilitate the preparation and implementation of an investment strategy
- Allow members access to all relevant fund documents

The SMSF Investment Objective

- The sole purpose of the fund is to provide a lump sum or pension benefits upon retirement or death.
- The investment objective of the fund is to provide real, medium to longer term growth in the value of the assets held by the fund either through capital growth in the value of existing investments or by the reinvestment of income generated by existing investments.

Other Considerations of the SMSF

Trustee responsibilities

Jimmy and Carmela, as the trustees of your SMSF you are responsible for compliance with a range of investment related requirements including the investment strategy covenant and various restrictions on investments and benefits including those related to:

- lending to members or their relatives
- *acquiring assets from members or their relatives (as mentioned below)
- in-house assets (for example, a loan from the fund to a related company or trust)
- arm’s-length transactions (for example, a fair market value must be paid if the fund acquires listed shares from a member or relative)
- borrowing by the fund
- member reporting obligations (including annual statements)
- contribution acceptance standards
- benefit payment standards.

A superannuation fund may only purchase certain types of investments (at market value) from you or an associate, such as a relative. These include shares listed in Australia or on an approved overseas stock exchange, units in retail unit trusts and business real property used wholly for

any commercial business. The transfer of virtually all other assets that a member already owns into the fund may incur fines or criminal prosecution.

The SMSF Investment Strategy

As per relevant legislation under Section 52(2) (f) of the SIS Act, an investment strategy should be formulated by the trustees. This is the fund's plan to make, hold and realise fund assets. This strategy should be consistent with your investment objectives specific to the fund. The investment strategy should take into account certain elements as set down by the aforementioned legislation:

- diversification
- risk and return (refer to risk profile section)
- liquidity and cashflow (refer below)
- Expression of investment strategy – strategy must be clear and unambiguous.
- Trustee Minutes – minutes must be taken to demonstrate that relevant issues relating to statutory and non statutory matters have been considered.
- Giving Effect to Strategy – implementing the investment strategy.
- Fund Reserves – Reserving policy which reduces volatility of returns and provides investment performance smoothing for the fund. In good performance years the reserves are increased and in underperforming years funds are taken from the reserve to prop up lacklustre performance in the fund.
- Segregation of Fund Assets – Assets of an SMSF can be maintained at fund level or allocated to individual members. Returns are also allocated in this instance.

In addition to diversification across asset classes, in order to manage risk, the fund will seek to diversify the portfolio across individual assets, sectors within asset classes, and investment managers.
The fund's investments may include:

  - direct equities, stocks and derivatives and include the participation in dividend reinvestment programs, rights issues and the like
  - property trusts and associated investments, direct residential, industrial or commercial property investment
  - managed investments and associated products
  - bank and other financial institution securities including term deposits and debentures
  - secured and unsecured notes and bonds
  - any other investment which would not prejudice Government Approval of the Fund.

The liquidity and cashflow of the fund and its investments will be managed to ensure that the fund is able to pay all expenses, tax and member benefits as and when they are likely to become due.

Suggested SMSF Investment Strategy

Investment objectives

Long term (5 – 7 years)
- To enhance the value of the members savings, and
- To achieve a long term return of at least inflation (as measured by CPI) plus 3.5% per annum over rolling 5 year periods, which historically equates to the real rate of return which may be expected from a balanced portfolio.

Short term (2 years or less)
- To ensure the fund provides positive returns in most financial years, and
- To ensure sufficient liquidity to meet operating expenses and taxation liabilities as they fall due.

Investment strategy

The investment strategy is the method to be implemented in order for the trustees to achieve the investment objective. The investment strategy of the trustee is to invest the fund's assets in the following portfolios:

Portfolio	Range	Benchmark Growth
Australian shares	40% - 45%	43%
International shares	22% – 27%	25%
Property	15% - 20%	17%
Fixed interest	10% - 15%	13%
Cash	0% - 5%	2%

These ranges are purely indicative (**being based on your investor risk profile**) and the trustee may vary the allocations at any time if satisfied that conditions warrant such a change. In arriving at the investment strategy, the trustees considered the following:

Diversification of investment strategy

You should consider the diversification of the fund's investments, and be of the opinion that the strategy is appropriate given the size of the fund in terms of both investments and the number of members.

Liquidity of the investment strategy

You must be of the opinion that the investment strategy is structured in such a manner so that the fund is sufficiently liquid to discharge its current and future liabilities.

Short-term liabilities include lump sum payments, tax liabilities, annual return fees, accounting fees and audit fees.

Investments within SMSF

Once you have contributed your surplus funds into the superannuation environment and rolled across your Australian Super, OneAnswer, and Hesta funds, your SMSF will have an approximate balance of $2,770,494. You have stated that initially you would like to invest your SMSF funds in one (or a combinaton) of the following options; (1) a portfolio of managed funds under a recommended master trust structure or (2) a direct share portfolio managed by an authorised stockbroker.

Taking this into consideration, we have provided some suggestions below in terms of how the monies may be invested (i.e. a portfolio that is in line with a **Growth** Asset Allocation):

Growth:

Asset Class	% of Portfolio	Value
Australian Shares	43%	$1,191,312
International Shares	25%	$692,624
Fixed Interest	13%	$360,164
Property	17%	$470,984
Cash	2%	$55,410
	100%	**$2,770,494**

Recommended Investments:

International Shares

Investment Name	**Investment Value**	**Management Expense Ratio (MER)**
Colonial FirstChoice Wholesale Platform		
BT Core Wholesale Global Share Fund (AQR)	*$249,344*	*1.39%*
Platinum Wholesale International	*$221,640*	*1.77%*
MFS Wholesale Global Equity	*$221,640*	*1.28%*
Total Investment	**$692,624**	

Performance figures (net of MER) for the International Shares managed funds as at 28/02/18 are as follows:

	1 year	**2 years**	**3 years**	**5 years**	**Since inception**	**Inception date**
BT Wholesale Core Global Share	15.54%	12.54%	7.48%	15.45%	5.98%	23-Jul-04
Platinum Wholesale International	24.80%	16.52%	9.36%	14.97%	8.23%	14-Jul-04
MFS Wholesale Global Equity	14.02%	11.65%	7.48%	14.63%	11.85%	31-May-09

Australian Shares – Option A

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform		
BT Wholesale Core Australian Share	*$304,754*	*1.05%*
Fidelity Wholesale Australian Equities	*$304,754*	*1.11%*
Perennial Wholesale Value Australian Share	*$304,754*	*1.06%*
CFS Wholesale Small Companies - Core	*$277,049*	*1.15%*
Total Investment	**$1,191,312**	

Performance figures (net of MER) for the Australian Shares managed funds as at 28/02/18 are as follows:

	1 year	2 years	3 years	5 years	Since inception	Inception date
BT Wholesale Core Australian Share	14.56%	16.05%	6.93%	10.04%	9.12%	28-Jul-04
Fidelity Wholesale Australian Equities	9.20%	12.13%	5.35%	8.84%	9.77%	31-Jul-09
Perennial Wholesale Value Australian Share	7.98%	14.08%	3.80%	7.86%	8.27%	20-Jul-04
CFS Wholesale Small Companies - Core	15.21%	16.03%	10.96%	11.91%	11.31%	26-Jul-04

Australian Shares – Option B

Investment Name	Investment Value	Indicative Management Cost
Direct Shares[1]	*$1,191,312*	*Cost of brokerage* ***(typically 1%)***
Total Investment	**$1,191,312**	

[1] Specific shares to be recommended by an authorised stock broker should you wish to proceed with this option.

Fixed Interest – Option A

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
*FirstChoice Wholesale Fixed Interest^*	*$360,164*	*0.81%*
Total Investment	**$360,164**	

^ Performance figures (net of MER) for the FirstChoice Wholesale Fixed Interest Fund as at 28/02/18 are as follows:

1 year	2 years	3 years	5 years	Since inception	Inception date
2.91%	2.67%	2.50%	4.09%	5.89%	17/04/02

Fixed Interest – Option B

Investment Name	Investment Value	Management Expense Ratio (MER)
Term Deposit°	*$360,164*	*0%*
Total Investment	**$360,164**	

° The highest rates currently available for term deposits of $360,164 for a term of 12 months are:

ME Bank	-	2.80%
U Bank	-	2.64%
Bankwest	-	2.60%

Australian & International Property

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform		
BT Wholesale Property Investment	*$138,525*	*1.12%*
CFS WS Global Listed Infrastructure	*$166,230*	*1.25%*
CFS WS Global Property Securities	*$166,230*	*1.07%*
Total Investment	**$470,984**	

Performance figures (net of MER) for the Australian & International Property managed funds as at 28/02/18 are as follows:

	1 year	2 years	3 years	5 years	Since inception	Inception date
BT Wholesale Property Investment	-0.44%	3.50%	3.85%	8.36%	4.15%	15-Jul-04
CFS WS Global Listed Infrastructure	1.61%	9.35%	5.77%	11.07%	7.87%	19-May-08
CFS WS Global Property Securities	0.35%	5.85%	1.78%	6.87%	6.59%	31-Oct-04

Cash – account to be set up

Investment Name	Investment Value
SMSF Bank Account	*$55,410*
Total Investment	**$55,410**

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
- No switching fees or exit fees apply to this investment.

Superannuation Fund Costs

The fee structure under your current superannuation funds is as follows:

Jimmy

Type of Fee or Cost	Australian Super	OneAnswer
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	4.00%
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	$35	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	$78 p.a.	$56.47 p.a.
Adviser Service Fee – additional fee paid to financial adviser	Nil	Nil
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.81% p.a.	1.66% p.a.
Asset Allocation	High Growth	Growth
Annual average cost on Total $2,770,494 investment	$22,519	$46,046

Carmela

Type of Fee or Cost	Australian Super	Hesta
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	$35	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	$78 p.a.	$91 p.a.
Adviser Service Fee – additional fee paid to financial adviser	Nil	Nil
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.81% p.a.	0.75% p.a.
Asset Allocation	High Growth	Balanced
Annual average cost on Total $2,770,494 investment	$22,519	$20,869 p.a.

A guide to the fee structure under a SMSF is as follows:

Type of Fee or Cost	SMSF (Self-Managed Super Fund) p.a.
Adviser Service Fee – additional fee paid to financial adviser	$1,200 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0% to 1.77%
Set up cost of SMSF	$3,000+GST
Annual Accounting Fees and Audit (estimated)	$2,500+GST

Notes:

Whilst an SMSF may prove costly to set up, additional benefits may be obtained such as tax minimisation and the ability

What is paid to your adviser

Plan Fee

There is no plan fee for this Statement of Advice.

Upfront and Ongoing Fee Disclosure

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Summary

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used, and a default rate of return of 7% on share and managed fund investments. Projections are calculated in today's dollars;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- No consideration has been made for Eligible Termination Payments, foreign sourced income or capital gains or losses, unless stated otherwise;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary. Estimated expenses and tax are also included;

Appendix B – Self Managed Super Funds – Role & Responsibilities of Trustees

Refer to the attached guide – 'Running a self-managed super fund - Your role and responsibilities as a trustee'.